Salt, Subsistence, and Sovereignty: The Political Economy of the Himalayan Salt Trade through Scott, Polanyi, and Thompson

For centuries, the high plateau regions of the Western Himalayas supported a world that defied the terms used by modern economists to conceptualise trade. The salt that passed through these high altitudes was not just an object of commerce to be exchanged for money. It served a purpose much greater than mere commodification. For instance, the Rupshu nomadic groups mined salt from the Tso Kar lakes; the Zanskari businessmen transported the same salt via difficult mountain trails to reach the valley-dwelling Paharis who then traded it with the Ladakhis for pashm. Notably, no individual involved in this network of transactions sought to maximise profits for themselves. Rather, they participated in a process of exchange where subsistence needs, moral obligations, and indebtedness defined the structure of the transactions. Therefore, one must look into three different theoretical perspectives that provide the most illuminating insights into the history of Himalayan salt. James C. Scott's moral economy of the peasant, Karl Polanyi's substantivist critique of market society, and E.P. Thompson's analysis of class, custom, and dispossession are some of the prominent theoretical frameworks to explore the history of Himalayan salt trade. These three theoretical approaches are not identical in nature. However, they do share one major similarity their fundamental understanding that the economy is intrinsically linked to society, politics, and the moral values associated with organising material life.

A Foundation in Substantivism: Polanyi and the Embedded Economy of the Himalayas

Perhaps the most productive point at which to begin thinking about the foundations of substantivist theory is the distinction drawn by Karl Polanyi between formalist and substantive economics. Formalist economics assumes that all economic action is based on a principle of scarcity—scarce resources put into rational use for achieving certain desirable outcomes. As this model emerged in a particular historical context (capitalist markets), it assumes that markets are the organizing principle of all economic exchange. What Polanyi's substantivism rejects outright is the universalism that the formalist approach entails. Rather than the economizing market process assumed by formalist theory, the substantive economy is an institutionally organized process of human interaction with nature, wherein human wants are constantly satisfied through provision of the requisite material means. The substantive economy differs from the formal economy in one fundamental way: it is never independent from society. That is, the economy is subject to political, religious, and familial ties as well as social relations in general.

The Himalayan salt trade provides a near-perfect exemplification of Polanyi's claim. Prior to the disruption of the colonial economy, salt did not follow a pattern of circulation based on the workings of a market system. Rather, it circulated according to what Polanyi would term a system of reciprocity and redistribution—one of the three structurally defined systems of exchange Polanyi describes as pre-market. The notion of "netsang," meaning fictive kinship, was integral to such an economy. Each pastoral family formed trade relationships with other families belonging to other communities. These relationships existed not as legally bound contracts, but rather as ties of obligation and trust developed over years and passed down intergenerationally. Such partners extended hospitality and protection to caravans passing through areas of danger from conflict over territory, seasonal snow cover, and raids. The network of such netsang arrangements described in Janet Rizvi's documentations of trans-Himalayan caravans covered Zanskar, Paldar, Mustang, and Humla, binding together pastoralists, farmers, and traders in networks of mutual obligation.

This was not barter in the sense of an exchange between strangers of goods considered equivalents in value; it was, instead, Polanyi's gift trade based on the principle of reciprocity within the structure of long-term personal relationship, recognition, and trust. The case of Malinowski's Kula trade that Polanyi studied so extensively is a perfect example here: the circulation of Soulava necklaces and Mwali armbands among Trobriand Islanders happened not to accumulate something but to sustain prestige, status, and social relationship. The Rupshu-Zanskari-Pahari salt routes were similarly organized though in much harsher conditions and with much more precious products. Salt was traded against barley, apricots, grain, and spices according to certain timing related not to prices but to the annual cycles of climatic phenomena, ritual activities, and traditional practices of the caravan merchants.

In the context of this economy, the redistribution system played a great role. The government of Tibet Ganden Phodrang extended its influence in the region via tsasho, or salt-tax officials, collecting duties for every crossing of ferries on the Yarlung Tsangpo route. Salt was annually delivered to monasteries located in Karzok and Thugji. Thus, the process of production of the commodity became a part of redistribution practiced by monasteries in favor of their authority and religious importance within the political structure of Tibetan Buddhism. The exploitation of salt at Lake Tso Kar was performed under the responsibility of kotwal, who was an assistant to goba appointed by the king. He split up the territory of the lake into four sectors and allocated them among groups of workers chosen by lots. This institution served also as a conflict-resolving tool providing all groups equal opportunities to exploit a common resource.

The British colonial conversion of this system is, in Polanyi’s analysis, the brutal application of market rationality to the substantive economy. With the India Salt Act of 1882, the British restricted the ability of Indians to collect or sell salt except through authorized depots administered by the government, making it illegal to produce or trade salt outside the government’s monopoly. Salt was produced and transported only through authorized government salt depots, with a tax being imposed on each maund. Before this, the Inland Customs Line, which extended over two thousand miles through the subcontinent, had already established itself as the prerequisite measure that obliged the transportation of salt through customs posts where taxes were collected. This prevented any salt from being imported into protected markets and facilitated the imposition of standard taxes. For the Himalayan region, the dynamic netsang and barter systems were slowly eroded by licensing, quotas, and inspection checkpoints that turned salt into an object of colonial administration. An instituted substantive economy became, in Polanyi’s blunt formulation, a stark utopia the disembodied market enforced by the power of the state.

Moral Economy and Safety First: Scott and the Subsistence Ethic of the Rupshu

The concept of moral economy, advanced primarily in relation to agrarian Southeast Asia, developed by James C. Scott, proves to be exceptionally fruitful in connection with the Himalayan region. Among other ideas, as part of his reasoning, Scott asserts that peasant societies, viewed broadly as the class comprising not only peasant cultivators, but pastoral nomads as well, do not conduct themselves in an economically oriented way, based on profit maximization, but in the way directed at maintaining their own subsistence. As per the theory formulated by Scott, the peasantry observes one very important principle called safety first, i.e., they choose to engage in safe but less profitable endeavors rather than in risky but more profitable activities. In light of the fact that the peasantry living under subsistence conditions are faced with the danger of death if something goes wrong in the course of their activity, moral economy can be defined as the system of expectations, norms and rules observed in order to make sure the subsistence threshold of the peasantry is maintained — limits of exploitation imposed on the ruling strata of society, reciprocity within the community, and violations to be considered serious enough for initiating revolt.

In the case of Rupshu and Changpa pastoralists who inhabit the Tso Kar basin, the concept of Scott's subsistence ethic is manifested with all its might. The practice of producing salt, grazing animals and trade in pashm and wool was not a separate means for obtaining additional earnings but a measure aimed at reducing risks in an environment characterized by both unpredictability and uncertainty. Every year the pastoralists' lifestyle had its distinct cycle determined by seasons. During autumn, salt was produced in Tso Kar; summer months were associated with nomadic life and grazing; in spring, birth of younglings took place, and during the winter, it was an extremely cold and unproductive period. The peasants pursued their traditional occupations depending on ecology, rather than commercial factors. If prices for salt soared up, they would still not try to produce more of it than the accepted norm. The peasants would collect the necessary amount according to the tradition and as prescribed by the kotwal, pack their twenty-five saddle bags and depart. There was another particular aspect of the Rupshu lifestyle: fraternal polyandry, which helped to consolidate households and prevent any split of scarce natural resources

The concept of patron-client relationships and communal reciprocity is explained well in Scott's work as an example of a non-market system of insurance. The netsang tie, among others, guaranteed the provision of subsistence safety across distances and geographical regions. For example, the harvest failure of salt for a Rupshu family could be covered by the grains produced by its netsang family in Zanskar, the obligation to provide which was to be returned in kind. The provision of salt by monasteries in exchange for grains from pastoral families created the same type of relationship, wherein pastoral families were engaged in redistributive relations with religious organizations, which, under pre-colonial conditions, were sources of help during the difficult periods. As Scott describes, pre-colonial conditions of exploitation included flexibility and the possibility of adaptation to unfavorable circumstances, while elites who failed to secure the subsistence of their followers lost their right to rule. Thus, the delegation of responsibilities of collection by local intermediaries in the Nono Kyuleng village in Spiti, where there was a moral understanding of what was an acceptable level of extraction and what was beyond this limit.

Colonial administration undermined this moral economy in a way described by Scott. In particular, the Salt Act of 1882, along with a whole set of measures taken in colonial India to control salt production, changed the nature of extraction itself. While pre-colonial extraction, even if excessive, was based on a mutual understanding of what was a permissible amount of exploitation, colonial extraction did not carry the moral responsibility of securing subsistence. This exploitation involved no reciprocity and the lack of moral obligations toward the exploited communities, and it was done according to the interests of the colonial fiscal system. In Scott's interpretation, exploitation reached an intolerable degree since the colonized community had to live below the level of subsistence.

The actions taken in response, which include smuggling, tax evasion, altering trade routes, and cultivating informal networks, are those very behaviors observed in the Himalayan context. Communities for whom legitimate access to the Tibetan salt lakes had been blocked by colonial intervention did not merely bow down and acquiesce. Historical evidence such as the Rupshu-Kharnak dispute regarding ownership of Tso Kar, the ongoing existence of informal barter economies existing side-by-side with the officially sanctioned route, and the continuation of the use of gamgya, an oath of mutual trust that regulated trade in the Shipki corridor of Spiti, represent what Scott describes elsewhere as acts of everyday resistance   the ordinary and unspectacular methods that subordinate peoples use to protect their livelihoods from more dominant forces.

The 1950 annexation of Tibet by China and the subsequent closing of the border region between 1962 and 1968 constituted, within the framework of Scott's analysis, the most violent act of all   and an act of violence inflicted, moreover, not by the colonial regime itself, but by the fallout from its colonial policies of the past. The international borders created by nation-states divided migration paths, rendering many routes inaccessible and forcing the Changpa and Rupshu to seek out new ways to access Tibetan salt lakes and Tibetan markets. The system, which had adapted over the centuries to survive political change and had even learned to thrive via diversification and netsang, could not adapt in this instance.

Custom, Class, and the Experience of Dispossession: Thompson on the Himalayan Frontier

Whereas it was easier for us to connect Scott and Polanyi to the Himalayan case study, E.P. Thompson presents a much harder nut to crack for a direct application of his theories to our chosen case, and you have made that clear in your notes. This historian developed his theory about the moral economy and class formation with reference to the eighteenth century English working-class history, a time when the rural poor were under attack by processes of enclosures and industrialisation leading to commoditisation of common resources in a fully capitalist environment. Obviously, this is a very different setting compared to the Himalayan frontiers; the social actors mentioned in Thompson's historical analysis are very far removed from Changpa nomads or Rupshu pastoralists. Still, there are some interesting elements in the work of E.P. Thompson that are applicable to our study in ways Scott or Polanyi cannot match.

First, it is Thompson's emphasis on the difference between standard of life and way of life. While measures of the former quantifiable indicators of welfare like daily caloric intake, income level, access to goods can mislead us when trying to understand what the experience of dispossession entails, as the latter involves loss of something more than mere material welfare. In other words, while "numbers can lie" workers could eat meat in larger quantities and wear cheaper clothes while actually seeing their conditions deteriorating dramatically it is possible that colonial exploitation did not reduce people's quantitative level of material welfare, but destroyed the very fabric of their customary, autonomous lives. So, while colonial intervention could improve some quantitative welfare indicators in salt production regions (by increasing availability of some kinds of salt and regulating prices), what was really damaged could not be measured by such figures loss of Rupshu autonomy in terms of management of the salt extraction schedule, loss of authority of the goba and kotwal as managers of the commons, destruction of trust-based netsang relations ensuring subsistence security.

Another element of the Thompsonian conceptual toolkit that travels surprisingly well to the Himalayan context is the idea of class as an historically constituted relation, rather than a structural category. Class is not, for Thompson, about where people find themselves in a given system of production, but is instead a process in which relations are continually established and disrupted in response. In this light, the history of Himalayan salt is one characterized by contestation: from the start to finish, there are moments when different communities dispute their rights to the economy of subsistence that sustains them. The dispute over access to Tso Kar between Kharnak and Rupshu was, as noted above, an example of such contestation. In the Shipki pass, the gamgya oath revealed the persistence of customary law beyond colonial administration's efforts to eliminate it. Meanwhile, the continued use of informal barter circuits indicates resistance to the reconstitution of economic relations imposed upon Himalayan mountain communities.

Finally, Thompson's discussion of artisan independence, work discipline, and destruction of social bonds within the capitalist mode of production has some applicability for the case of Himalayan salt, albeit in a modified way. As described above, the Changpa community, across generations, had developed a highly nuanced "environmental authority," which included knowledge of seasonal rhythms, ecological processes, and geographical conditions, and helped to coordinate salt gathering, interactions with valley farmers, organization of caravan gatherings, and so forth. Moreover, the Changpa had established a system in which salt gathering was organized according to kinship relations (the four chu lag led by chu dpon from the same pha shun, or patri-fraternal group), with ritual duties, specialized terminology, and elaborate conduct rules. Industrialization, Thompson argues in regard to English artisans, destroyed this kind of independence: instead of having the ability to regulate their lives, workers became proletarians forced to accept low wages and dishonor. Something similar was happening to Himalayan mountain communities: the colonial administrative structure replaced the custom-made authority of the kotwal and the goba with the licensing power of the colonial administration, substituted the redistributive netsang with a contract-driven permit system, and undermined environmental authority of the Rupshu community by enforcing quotas and checkpoints that took into account imperial budget requirements, rather than ecological sustainability.

Multi-Commodity Network and Convergence of Three Frameworks

What all three theories converge to suggest, when taken together, is the structural importance of salt within a multi-commodity network   and the political importance of this structure of centrality. Embeddedness, Polanyi's term for the impossibility of separating out the economic activity from the social and political context, makes clear why the extraction of salt was politically impossible; the subsistence ethic, according to Scott, explains the nature of the disruption in moral terms; while the emphasis on the way of life that Thompson makes clears up the loss of what was lost in these events in terms that quantitative economics cannot capture.

The multi-commodity aspect of the trade is critical here. Salt did not travel alone. It traveled alongside a meticulously organized process of diversification. It was accompanied by pashm from the high-altitude goats of Changthang; grain and barley from the lowland regions of Ladakh and Zanskar; apricots from Baltistan; tea and sugar from the Dazem fair in Himachal Pradesh; carpets and dyestuffs from the entrepot markets in Leh; and wool destined for Kashmir shawls. Leh served as an intermediate market, linking the luxury fiber circuit to the subsistence commodity network, in one continuous network. Shipki in Spiti Valley was the gateway to the lower Himalayan regions from the trans-Himalayan trade networks. Each of these trade networks moved several commodities at the same time, and the disruption of a single component of this network, such as salt from Tso Kar, meant disruption of the entire diversified structure necessary for the survival of these peoples.

Here, the safety-first strategy that Scott describes works on an expanded scale. It is the multi-commodity structure that provided the diversification. This is a safety measure built into the system; the risk inherent in a single line of business is avoided through the diversified approach. Salt was important not merely because of its nutritional value   the role played by salt as an iodine supplement for regions susceptible to outbreaks of goiter disease was a matter of survival   but also because of the demand it generated and met in all eco-zones; as well as the reliable production in Changthang's high altitude lakes. In Polanyi's sense, salt was the pivot of the exchange system.

The regulatory regime of colonialism struck this nexus with deadly efficiency. The India Salt Act of 1882 specifically forbade Indians from producing and trading in salt and ensured continued restriction of access to this essential substance at reasonable rates, despite the fact that the physical barrier of the Inland Customs Line had by then been stripped away. The Mandi salt mines were placed under licensing procedures in an early stage of administrative centralization; the entire Salt Department system enforced fixed allocations, monitoring stations, and permits upon a sector which had hitherto relied on the conventions of custom and trust. What emerged in its place was the process of formalization and commoditization of an entire substantive economy — a system of contract replacing systems of reciprocity, of government permission replacing goba authorization, of currency replacing barter, of bureaucratic regulation replacing the tangled web of social relations of the frontier.

Conclusion: Gift into Contract, Contract into Constraint

The story of Himalayan salt production and trade under colonialism may ultimately be understood as the story of an irreconcilable clash between two radically different ways of seeing the economy. The formalist worldview of the colonial government saw salt as nothing more than another tax-generating commodity to control and monitor. The people of the Rupshu and their trade networks saw the commodity as sacred, obligated, life-sustaining, and economically foundational.

Through Polanyi we can see the process behind this encounter which was more than an adjustment to the new economic environment; it was a social upheaval which was the product of the disembedding of salt from social relations from the gift into the contract, and then from the contract into the constraint, as the shift from pre-colonial netsang trade to post-colonial permit system might be characterized. Through Scott, we can better understand why this process is perceived as a moral violation why the post-colonial extraction regime goes beyond the legitimacy of any of its predecessors by dragging people below the subsistence line without any corresponding social security, and why the reaction to such a regime takes form of quiet resistance rather than armed rebellion. Through Thompson, we can see the intangible loss of the cultural context of salt trading, the environmental skills and discipline of chu lag and chu dpon, the customary legal framework of gamgya and the sanctity of salt as ritualized social activity.

Thus, all three perspectives help us comprehend that the political economy of Himalayan salt should not be marginalized as some minor element of Indian colonial history, but be considered as particularly illuminative example of what Polanyi called the Great Transformation painful, contested, and unfinished process of imposing the logic of market upon societies organized according to fundamentally different rules. The members of Rupshu and Changpa communities were not turned into market participants simply due to proclamation by the colonial state of their economic status. On the contrary, they were continuing their negotiations, resisting and adapting to this process with the help of custom, kinship ties and ecological knowledge which could not be fully regulated by the colonial administration.